

Q.1 Of the four players in the money supply process, most observers agree that in the simple money supply model the most important player is:

- A. Depositors
 - B. The Federal Reserve System**
 - C. Banks
 - D. Borrowers
-

Q.2 Zero inflation is bad because

- A. Both option A(1) & B (2)**
 - B. It increase risk of deflation
 - C. It increase the default of loans
 - D. None of given options
-

Q.3 If a member of the non-bank public purchases a government bond from the Fed with currency:

- A. Reserves will fall
 - B. Reserves will remain unchanged
 - C. The monetary base will fall**
 - D. Monetary base will fall and reserves will remain unchanged
-

Q.4 Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

- A. Commercial banks**
 - B. Non bank public
 - C. Central bank
 - D. Bank regulators
-

Q.5 Everything else equal, if the growth rate of a country exceeds its sustainable rate:

- A. The central bank is likely to lower the interest rate thinking a slowdown is coming to offset this boom.
 - B. The central bank will keep interest rates low to keep the momentum
 - C. The central bank is likely to raise interest rates to slow the rate of growth**
 - D. The central banks will now identify this new rate as the sustainable rate and try to maintain it.
-

Q.6 Which kind of credit by central bank is utilized by the Small agricultural banks to help in managing the cyclical nature of farmers' loans?

- A. Primary credit
 - B. None of above
 - C. Seasonal credit**
 - D. Secondary credit
-

Q.7 Bank wishes to hold excessive reserves of 7% of deposits, it would keep reserves of 9% of \$95,000, what amount will be available for the loans?

- A. 86450**
 - B. 79800
 - C. 89300
 - D. None of give
-

Q.8 Cash withdrawal by the general public may effect

- A. Composition of balance sheet
 - B. Size of monetary base**
 - C. None of given
 - D. Size of balance sheet of SBP
-

Q.9 The monetary liabilities of the Federal Reserve include:

- A. Government securities and discount loans
 - B. Currency in circulation and reserves
 - C. Government securities and reserves**
 - D. Currency in circulation and reserves
-

Q.10 One reason given for more central bankers releasing their decisions publicly is:

- A. So that central banks across the world can coordinate their policies
 - B. To give people time to understand it
 - C. Most people do not understand monetary policy so it really doesn't do any harm to release the decisions publicly
 - D. If monetary policy is going to be stabilizing speculation about central bankers decisions should be minimized**
-

Q.1 When the Fed wants to increase the level of reserves in the banking system, it can:

- A. Increase discount loans to banks
 - B. Buy bonds from the public
 - C. All of the given options**
 - D. Buy bonds from banks
-

Q.2 Cash become less desirable when _____.

- A. Liquidity falls
 - B. Riskiness of alternative holdings rises
 - C. None of the given options
 - D. Interest rates rise**
-

Q.3 On the event of purchase of Rs. one billion T-bill by the central bank, the net effect of balance sheet of central bank will be?

- A. A & B both possible
 - B. Its assets and liabilities increase by Rs. 1 billion**
 - C. No effect on monetary base
 - D. Net effect there is zero
-

Q.4 The Fed lacks complete control over the money supply because it cannot perfectly predict:

- A. Excess reserves held by banks
 - B. Shifts from deposits to currency
 - C. Any of the above**
 - D. Discount borrowing by the banks
-

Q.5 Of the four players in the money supply process, most observers agree that in the simple money supply model the most important player is:

- A. The Federal Reserve System**
 - B. Depositors
 - C. Borrowers
 - D. Banks
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Q.6 ----- is considered primary job of the central bank?

- A. Price stability**
 - B. Stable growth rate
 - C. Stable exchange rate
 - D. Financial system stability
-

Q.7 When a bank has \$1,000,000 in deposits and is subject to a required reserve ratio of 0.1, and it has \$100,000 in vault cash and reserve deposits at the Fed is said to be:

- A. Fully loaned up
 - B. Holding total reserves of \$900,000
 - C. Holding excess reserves of \$100,000**
 - D. Holding vault cash of \$100,000
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- A. None of given
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 - B. Seasonal credit**
 - C. None of above
 - D. Secondary credit
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Q.10 If the required reserve ratio is 20%, the simple deposit multiplier is:

- A. 2.5**
 - B. 10.0
 - C. 4.0
 - D. 5.0
-

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- A. Holding vault cash of \$100,000
 - B. Holding total reserves of \$900,000
 - C. Holding excess reserves of \$100,000
 - D. Fully loaned up**
-

Q.2 Which is not principal of central bank design?

- A. Fiscal policy by competent persons**
 - B. Independence
 - C. Accountability and transparency
 - D. Decision making by committee
-

Q.3 If a bank has excess reserves of \$15,000 and demand deposit liabilities of \$80,000, and if the reserve requirement is 20%, then the bank has total reserves of:

- A. \$31,000**
 - B. \$11,000
 - C. \$26,000
 - D. \$20,000
-

Q.4 If the required reserve ratio is 20%, the simple deposit multiplier is:

- A. 2.5**
 - B. 10.0
 - C. 5.0
 - D. 4.0
-

Q.5 In the simple model of multiple deposit creation in which banks do not hold excess reserves, the increase in checkable deposits equals the product of the change in reserves and the:

- A. Inverse of the simple money multiplier
 - B. Discount rate
 - C. Inverse of the excess reserve ratio
 - D. The simple money multiplier**
-

Q.6 ----- is considered primary job of the central bank?

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 - B. Price stability**
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 - D. Financial system stability
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Q.7 The State Bank of Pakistan chooses to organize the federal funds rate by manipulating the quantity of reserves by?

- A. Discount lending
 - B. Target Federal fund rate
 - C. Open market operation**
 - D. None of above
-

Q.8 One thing that is true about economic policy in the U.S. is:

- A. Fiscal policy ultimately controls monetary policy since Congress can control the Fed's budget
 - B. Monetary and Fiscal policy often times conflict**
 - C. Monetary policy ultimately controls fiscal policy since the Fed controls the money supply
 - D. Fiscal and monetary policy never conflict
-

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- A. None of above
 - B. Primary credit
 - C. Seasonal credit**
 - D. Secondary credit
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Q.10 Which is central bank primary policy instrument?

- A. The reserve requirement
 - B. The discount rate
 - C. All of above
 - D. The target federal funds rate**
-

Q.1 Cash become less desirable when _____.

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 - C. None of the given options
 - D. Interest rates rise**
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Q.3 Which type of credit is used for short term basis by the central bank?

- A. Secondary credit
 - B. None of above
 - C. Primary credit,**
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Q.4 One reason given for more central bankers releasing their decisions publicly is:

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- A. The simple money multiplier**
 - B. Inverse of the excess reserve ratio
 - C. Discount rate
 - D. Inverse of the simple money multiplier
-

Q.6 In the United States, the central bank is responsible for:

- A. Help finance government deficits
 - B. Both the conduct of monetary policy and help finance government deficits
 - C. Oversee the stock exchanges
 - D. The conduct of monetary policy**
-

Q.7 High-powered money less reserves equals:

A. The non-borrowed monetary base

B. Required reserves

C. Currency in circulation

D. The monetary base

Q.8 If the required reserve ratio is 20%, the simple deposit multiplier is:

A. 10.0

B. 4.0

C. 2.5

D. 5.0

Q.9 Which kind of credit by central bank is utilized by the Small agricultural banks to help in managing the cyclical nature of farmers' loans?

A. None of above

B. Secondary credit

C. Seasonal credit

D. Primary credit

Q.10 -----Interest rate charged by the central bank on loans to commercial banks?

A. Target Federal Funds Rate

B. None of above

C. Reserve requirement

D. Discount rate

Q.1 Which of the following is true regarding increase of interest rates?

- A. Encourage corporate borrowing.
- B. Discourage individuals from saving.
- C. Encourage corporate expansion.
- D. Discourage corporate investments.**

Q.2 Difference between the yield that a bank receives on its lending and the cost it bears on its borrowing is known as:

- A. Interest rate spread**
- B. Yield on equity
- C. Bank's Net worth
- D. Bank's net borrowers

Q.3 If a bank is holding its liabilities on floating rate and assets on fixed rate of interest, as a result ----- risk may arise.

- A. Interest rate**
- B. Credit
- C. Default
- D. Liquidity

Q.4 A typical bank will offer _____ type/s of checking accounts.

- A. Six or more types
- B. Only one type
- C. Two types**
- D. Four types

Q.5 Which one of the following is NOT non depository institution?

- A. Finance Companies
- B. Securities Firms
- C. Credit unions**
- D. Insurance Companies

Q.6 Often a bank will require a loan officer to make personal visits on customers with loans outstanding. This is encouraged because:

- A. The bank wants to make sure the business is still there
- B. This is an effective monitoring technique and should reduce moral hazard**
- C. The bank worries about competitors trying to steal their customers
- D. The bank likely has excess funds available and hopes to make another loan to the business

Q.7 Your friend says that price of ABC (Ltd) stock reflects all available information. It describes:

- A. Expected hypothesis
 - B. All of the given options**
 - C. Liquidity premium theory
 - D. Theory of efficient markets
-

Q.8 Banks borrow from the central bank this loan is called _____.

- A. Discount loan**
 - B. Corporate loan
 - C. Collateralized loan
 - D. Personal loan
-

Q.9 Interest rate risk arises as a result of which one of the following situation?

- A. It arises when banks make additional profit by using derivatives
 - B. It arises because of sudden demands of funds
 - C. It arises when loan is not repaid
 - D. It arises when two sides of the balance sheet do not match up**
-

Q.1 Which one the following is NOT the way to manage liquidity risk?

- A. By holding sufficient excess reserves
 - B. By adjusting liabilities
 - C. By adjusting assets
 - D. Through diversification**
-

Q.2 The Theory of Efficient Markets:

- A. Says Insider-information makes markets less efficient
 - B. Allows for higher than average returns if the investor takes higher risk
 - C. Assumes people have equal luck
 - D. Rules out high returns due to chance**
-

Q.3 Combination of term life insurance and a savings account is called as _____.

- A. Term life insurance
 - B. Group life insurance
 - C. None of the given option
 - D. Whole life insurance**
-

Q.4 If a bank is holding its liabilities on floating rate and assets on fixed rate of interest, as a result ----- risk may arise.

- A. Interest rate**
 - B. Default
 - C. Credit
 - D. Liquidity
-

Q.5 The reason for the government to get involved in the financial system is to:

- A. All of the given options**
 - B. Ensure the stability of the financial system
 - C. Protect investors
 - D. Protect bank customers from monopolistic exploitation
-

Q.6 Which of the asymmetry information problem compel to the good companies out of market and focus will be shift to the average qualities?

- A. Moral hazard
 - B. Adverse selection**
 - C. None of above
 - D. Standardized information
-

Q.7 _____ include savings and time deposits and account for nearly two-thirds of all commercial bank liabilities.

- A. Discount loans
 - B. Borrowings
 - C. Non transactions Deposits**
 - D. Checkable Deposits
-

Q.8 Which of the following are the primary uses of funds of depository institution?

- A. Cash, loans, securities**
 - B. Commercial paper, Bonds, Mortgages
 - C. Mortgages, Consumer loans, Business loans
 - D. Corporate bonds, Government bonds, Stocks
-

Q.9 When stock prices reflect fundamental values:

- A. The overall level of the stock market should move higher continuously
 - B. All companies will have an easier task of obtaining financing for investment projects
 - C. The allocation of resources will be more efficient**
 - D. All investors will experience capital gains
-

Q.10 Credit risk arises as a result of which one of the following consequences?

- A. It arises when two sides of the balance sheet do not match up
 - B. It arises because of sudden demands of funds
 - C. It arises when banks make additional profit by using derivatives
 - D. It arises when loan is not repaid**
-

Q.1 Which of the following market deals with fund transfer from those who have excess funds to those who have shortage of funds?

- A. Derivative exchange markets
- B. Fund-available markets
- C. Financial markets**
- D. Real markets

Q.2 Which one of the following is NOT non depository institution?

- A. Finance Companies
- B. Insurance Companies
- C. Credit unions**
- D. Securities Firms

Q.3 Projected change in interest rate is 2% and gap between interest rate sensitive assets and interest rate sensitive liabilities is Rs. -5600 (minus five thousand six hundred rupees). What will be the change in bank's profit, after change in interest rate?

It will: Increase profits by Rs. 2800

- B. Increase profits by Rs.112
- C. Decrease profits by Rs.112
- D. Decrease profits by Rs. 2800**

Q.4 Without the ability of financial intermediaries to pool the resources of small savers:

- A. The risk associated with lending would increase**
- B. The economy would likely grow faster
- C. People would likely save more
- D. Borrowers needing large amounts of money would find it less costly to obtain the funds

Q.5 When stock prices reflect fundamental values:

- A. All companies will have an easier task of obtaining financing for investment projects
- B. The allocation of resources will be more efficient**
- C. The overall level of the stock market should move higher continuously
- D. All investors will experience capital gains

Q.6 Which of the following is not recommended solution for Moral Hazard?

- A. Manager should be forced to report the owners
- B. Manager must invest significant their own resources
- C. Apply restriction on borrower on used of amount
- D. None of the given options**

Q.7 If a bank is holding its liabilities on floating rate and assets on fixed rate of interest, as a result ----- risk may arise.

- A. Interest rate**
 - B. Default
 - C. Liquidity
 - D. Credit
-

Q.8 Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

- A. The Lemons market
 - B. Free-riding
 - C. Adverse selection
 - D. Moral hazard**
-

Q.9 By holding sufficient ----- a bank can manage liquidity risk.

- A. Future contract
 - B. Letter of credit
 - C. Excess reserve**
 - D. Required reserve
-

Q.10 Customers' accounts are included in which of the following category in a bank's balance sheet.

- A. Capital
 - B. Reserves
 - C. Liabilities**
 - D. Assets
-

Q.1 Difference between the yield that a bank receives on its lending and the cost it bears on its borrowing is known as:

- A. Interest rate spread**
 - B. Bank's net borrowers
 - C. Bank's Net worth
 - D. Yield on equity
-

Q.2 Improvements in technology leads markets work efficient and reduce-----.

- A. Moral hazard
 - B. Adverse selection
 - C. All of the given options
 - D. Asymmetry information**
-

Q.3 Which one of these not the role of financial intermediaries?

- A. Gathering the small saving
 - B. Diversification of risk
 - C. None of above**
 - D. Reduction of information and transaction cost
-

Q.4 Credit risk arises as a result of which one of the following consequences?

- A. It arises because of sudden demands of funds
 - B. It arises when two sides of the balance sheet do not match up
 - C. It arises when loan is not repaid**
 - D. It arises when banks make additional profit by using derivatives
-

Q.5 Which of the problem asymmetry information has to face during the proper flow of funds?

- A. Borrower behavior in fund utilization
 - B. Moral hazard
 - C. Adverse selection
 - D. All of above**
-

Q.6 Which of the following practice is NOT used to manage foreign exchange risk?

- A. Use foreign exchange futures
 - B. Attract deposits and make loans in the same currency
 - C. Do business only in a particular country**
 - D. Use foreign exchange swaps
-

Q.7 The operational components required for truly independent central banks include:

- A. The ability to have policies reversed
 - B. The chairperson of the bank answerable only to the president
 - C. Budget controlled by Congress
 - D. Monetary policies cannot be reversed by anyone outside of the central bank**
-

Q.8 Return on Assets indicates:

- A. Ratio of profit with assets**
 - B. Required rate of return
 - C. Profitability and net worth
 - D. Ratio of revenue with assets
-

Q.9 Which of the following are the primary uses of funds of Insurance Company?

- A. Corporate bonds, Government bonds
 - B. Cash, loans, securities
 - C. Mortgages, Consumer loans, Business loans
 - D. Commercial paper, Bonds, Mortgages**
-

Q.10 What will be the Return on Equity of a bank if its net profit after tax is \$27000 and bank's capital is \$174000?

- A. 17%
 - B. 6.4%
 - C. 15.5%**
 - D. 10.2%
-

Q.1 Which of the following is included in the government-sponsored enterprise?

- A. Small and Medium Enterprise (SME)
 - B. All of the given options
 - C. House Building Finance Corporation (HBFC)**
 - D. Khushhali Bank
-

Q.2 ----- is considered private information?

- A. The dividend history reveal by the financial statement of company
 - B. Liquidity position reveal by cash flow statement
 - C. In-depth knowledge about the investment of company
 - D. Knowledge about the dividend percentage before the announcement of dividend declaration**
-

Q.3 Which of the following are the primary uses of funds of Insurance Company?

- A. Commercial paper, Bonds, Mortgages**
 - B. Mortgages, Consumer loans, Business loans
 - C. Corporate bonds, Government bonds
 - D. Cash, loans, securities
-

Q.4 When one party takes benefit due to poor knowledge of other party it is called?

- A. Asymmetry information**
 - B. Adverse selection
 - C. Symmetry information
 - D. Moral hazard
-

Q.5 Which of the following are the primary uses of funds of Finance Company?

- A. Cash, loans, securities
 - B. Commercial paper, Bonds, Mortgages
 - C. Bonds, Bank loans, Commercial paper**
 - D. Corporate bonds, Government bonds
-

Q.6 Which statement is wrong about the bubbles?

- A. Bubbles is financial terminology that depict the price vitality
 - B. Bubbles are much helpful to keep the financial system working smoothly**
 - C. Bubbles is price deviation due to investor behavior
 - D. These bubbles inevitably burst, creating crashes.
-

Q.7 If the purchase price of a financial instrument differs from the price at which it is sold, the result may be decrease in the value of the financial instrument. Such risk is termed as:

- A. Sovereign risk
 - B. Interest rate risk
 - C. Liquidity risk
 - D. Trading risk**
-

Q.8 Improvements in technology leads markets work efficient and reduce-----.

- A. Moral hazard
 - B. Asymmetry information**
 - C. Adverse selection
 - D. All of the given options
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Q.9 When stock prices reflect fundamental values:

- A. All investors will experience capital gains
 - B. All companies will have an easier task of obtaining financing for investment projects
 - C. The allocation of resources will be more efficient**
 - D. The overall level of the stock market should move higher continuously
-

Q.10 If Bubbles burst, what will be the effect on the economy?

- A. It destabilize the real economy
 - B. All of the given options**
 - C. Growth of economy will be low
 - D. Allocation of resources will be less efficient
-

Q.1 There are _____ type/s of life insurance.

A. 3

B. 1

C. 4

D. 2

Q.2 In our daily life, which of the following financial intermediary is used excessively?

A. Commercial bank

B. Investment bank

C. Credit union

D. Pension fund

Q.3 If a bank earns \$22,000 net profit after taxes and has \$412,000 in assets, what is its return on assets ratio?

A. 2.8%

B. 5.3%

C. 6.5%

D. 18.72%

Q.4 The broad class of securities firms includes which of the following?

A. Mutual fund companies

B. Investment banks

C. Brokerages

D. All of the given options

Q.5 Requiring a large deductible on the part of an insured is one way insurers treat the problem of:

A. Moral hazard

B. Free-riding

C. Adverse selection

D. The Lemons market

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A. It arises because of sudden demands of funds

B. It arises when two sides of the balance sheet do not match up

C. It arises when banks make additional profit by using derivatives

D. It arises when loan is not repaid

Q.7 Which one of the following is NOT true for gap analysis?

- A. It is the difference in the maturity of assets and liabilities
 - B. It is a formal study of what a business is doing currently and where it wants to go in the future**
 - C. It is the difference between the yield on interest sensitive assets and liabilities
 - D. Banks manages credit risk by using gap analysis
-

Q.8 The process of financial intermediation:

- A. Is used primarily in underdeveloped countries
 - B. Creates a net cost to an economy but is unavoidable
 - C. Is always used when a borrower needs to obtain funds
 - D. Increases the economy's ability to produce**
-

Q.9 Profitability of one bank may vary from the profitability of other banks due to following factor/s:

- A. Size of the bank
 - B. All of the given options**
 - C. Level of professional activities
 - D. Efficient cost management
-

Q.10 Which of the following is NOT a depository institution?

- A. Savings institutions
 - B. Commercial banks
 - C. Credit unions
 - D. Brokerage house**
-

VU QUIZ REPORT

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Subject: MGT411

Quiz Completed: 1/6/2026, 8:11:32 AM

Total Questions: 10

Question 1:

If the required reserve ratio is 20%, the simple deposit multiplier is:

A. 5.0

B. 4.0

C. 2.5

D. 10.0

Selected Answer: A

Question 2:

The State Bank of Pakistan chooses to organize the federal funds rate by manipulating the quantity of reserves by?

A. Target Federal fund rate

B. Discount lending

C. None of above

D. Open market operation

Selected Answer: D

Question 3:

Excess reserve-to-deposit ratio is a factor that affects the quantity of money. This factor is controlled by which of the following?

A. Commercial banks

B. Central bank

C. Non bank public

D. Bank regulators

Selected Answer: A

Question 4:

Which type of credit is used for short term basis by the central bank?

- A. Secondary credit
- B. Primary credit,**
- C. Seasonal credit
- D. None of above

Selected Answer: B

Question 5:

Cash become less desirable when _____.

- A. Riskiness of alternative holdings rises
- B. None of the given options
- C. Interest rates rise**
- D. Liquidity falls

Selected Answer: C

Question 6:

On the event of purchase of Rs. one billion T-bill by the central bank, the net effect of balance sheet of central bank will be?

- A. No effect on monetary base
- B. A & B both possible
- C. Net effect there is zero
- D. Its assets and liabilities increase by Rs. 1 billion**

Selected Answer: D

Question 7:

High-powered money less reserves equals:

- A. The non-borrowed monetary base
- B. Required reserves
- C. The monetary base
- D. Currency in circulation**

Selected Answer: D

Question 8:

If the required reserve ratio is equal to 10%, a single bank can increase its loans up to a maximum amount equal to:

- A. Its excess reserves**
- B. Its total reserves
- C. 10 times its excess reserves
- D. 10% of its excess reserves

Selected Answer: A

Question 9:

-----Interest rate charged on overnight loans between banks?

- A. Discount rate
- B. Reserve requirement
- C. None of above
- D. Target Federal Funds Rate**

Selected Answer: D

Question 10:

Which are not the assets of central bank?

- A. Foreign exchange reserves
- B. All of the given
- C. Loans
- D. Currency**

Selected Answer: D

VU QUIZ REPORT

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Subject: MGT411

Quiz Completed: 1/6/2026, 4:15:04 AM

Total Questions: 10

Mathematical Questions: 1

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Question 1:

-----Interest rate charged by the central bank on loans to commercial banks?

A. Target Federal Funds Rate

B. None of above

C. Discount rate

D. Reserve requirement

Selected Answer: C

Question 2:

High-powered money less reserves equals:

A. The monetary base

B. Required reserves

C. The non-borrowed monetary base

D. Currency in circulation

Selected Answer: D

Question 3:

The State Bank of Pakistan chooses to organize the federal funds rate by manipulating the quantity of reserves by?

A. None of above

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Selected Answer: D

Question 4:

Mathematical content - No CROPPED screenshot available

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Selected Answer: B

Question 5:

When the Fed wants to increase the level of reserves in the banking system, it can:

- A. Increase discount loans to banks
- B. Buy bonds from the public
- C. Buy bonds from banks

D. All of the given options

Selected Answer: D

Question 6:

Cash withdrawal by the general public may effect

A. Composition of balance sheet

- B. None of given
- C. Size of monetary base
- D. Size of balance sheet of SBP

Selected Answer: A

Question 7:

One thing that is true about economic policy in the U.S. is:

- A. Fiscal and monetary policy never conflict
- B. Monetary policy ultimately controls fiscal policy since the Fed controls the money supply
- C. Fiscal policy ultimately controls monetary policy since Congress can control the Fed's budget

D. Monetary and Fiscal policy often times conflict

Selected Answer: D

Question 8:

Which type of credit is used for short term basis by the central bank?

- A. Seasonal credit
- B. Secondary credit
- C. Primary credit,**
- D. None of above

Selected Answer: C

Question 9:

The means for assuring accountability and transparency:

- A. Involve setting specific numerical targets so there is no confusion as to what the goal is.
- B. Are the same for all successful central banks
- C. All of the given options
- D. Are different across the central banks of most countries**

Selected Answer: D

Question 10:

The equation of exchange is written by -----?

- A. Irving Fisher**
- B. Milton Friedman
- C. None of above
- D. Marshall

Selected Answer: A

Mathematical Questions Note:

Questions containing mathematical equations and symbols are displayed as CROPPED screenshots (top 20% removed for privacy) to preserve the original formatting. Your selected answers are displayed below each screenshot for easy reference.